

[SavePredictedExams](#) — SME

Economics

Higher level / Standard level

Paper 1

SME Predicted Paper Set — Hard

1 hour 15 minutes

Instructions to candidates

- Do not open this examination paper until instructed to do so.
- You are not permitted access to any calculator for this paper.
- Answer **one** question.
- Use fully labelled diagrams where appropriate.
- The maximum mark for this examination paper is **[25 marks]**.

Answer one question.**1.**

(a) Using appropriate diagrams, explain how negative production externalities lead to market failure and a welfare loss. **[10]**

(b) Using real-world examples, evaluate the view that carbon taxes are the most effective policy to correct market failure caused by pollution. **[15]**

2.

(a) Explain, using an AD/AS diagram, the difference between demand-pull inflation and cost-push inflation. **[10]**

(b) Using real-world examples, discuss the view that contractionary monetary policy is always more effective than contractionary fiscal policy in reducing a high rate of inflation. **[15]**

3.

(a) Using a diagram, explain how a tariff imposed on imported goods affects domestic producers, consumers and the government. **[10]**

(b) Using real-world examples, evaluate the view that free trade always benefits developing economies more than it benefits developed economies. **[15]**